# Société Générale Société anonyme

| **Recommendation** | **Price** | **12-Mo. Target Price** | **Report Currency** | **Investment Style** |
|---|---|---|---|---|
| SELL ★★★★★ | EUR 20.73 (as of market close Oct 27, 2023) | EUR 22.00 | EUR | Large-Cap Value |

**Equity Analyst Firdaus Ibrahim, CFA**

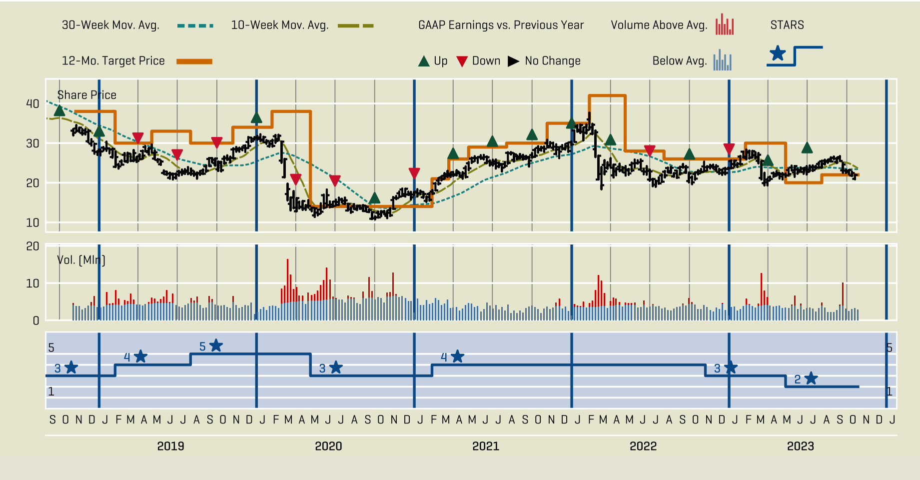
**GICS Sector** Financials
**Sub-Industry** Diversified Banks

**Summary** France-based Societe Generale provides financial services in Europe and internationally.

## Key Stock Statistics (Source: CFRA, S&P Global Market Intelligence (SPGMI), Company Reports)

| | | | | | | | |
|---|---|---|---|---|---|---|---|
| 52-Wk Range | **EUR 28.39 - 19.33** | Oper.EPS2023**E** | **EUR 4.20** | Market Capitalization[B] | **EUR 16.84** | Beta | **1.92** |
| Trailing 12-Month EPS | **EUR 5.68** | Oper.EPS2024**E** | **EUR 5.00** | Yield [%] | **8.2** | 3-yr Proj. EPS CAGR[%] | **1** |
| Trailing 12-Month P/E | **3.65** | P/E on Oper.EPS2023**E** | **4.93** | Dividend Rate/Share | **EUR 1.7** | SPGMI's Quality Ranking | **B-** |
| EUR 10K Invested 5 Yrs Ago | **8,271.0** | Common Shares Outstg.[M] | **800.00** | Trailing 12-Month Dividend | **EUR 1.7** | Institutional Ownership [%] | **40.0** |

## Price Performance




**Source: CFRA, S&P Global Market Intelligence**
**Past performance is not an indication of future performance and should not be relied upon as such.**
Analysis prepared by **Firdaus Ibrahim, CFA** on Aug 14, 2023 01:25 AM ET, when the stock traded at **EUR 25.54**.

## Highlights

- Societe Generale's (GLE) Q2 2023 underlying net income fell 22% Y/Y to EUR1.16 bln but was ahead of S&P Capital IQ consensus estimate of EUR744 mln. The result was dragged by lower revenues in French retail banking (-14%), reflecting contraction in net interest margin due to local consumer protection rule that caps the pace at which banks can pass on interest rate rises to households. Investment banking revenues were down 7% on the back of less favorable market environment. While underlying operating expenses were stable, it was also a reflection of weaker revenues.
- We expect the net interest margin pressure in France to continue until 2024, resulting in GLE's continued underperformance against peers in posting higher retail bank revenues. We think GLE's exposure to international markets should be able to support a softer performance in France. Past cost actions and ongoing initiatives should keep its underlying cost/income ratio stable amid the inflationary environment, in our opinion. We see higher cost of risk due to increased macro uncertainties.
- We cut our EPS forecasts to EUR4.20 (EUR4.50) for 2023 and EUR5.00 (EUR5.20) for 2024.

## Investment Rationale/Risk

- Our call is 2-STARS (Sell). We expect the interest margin pressure in France (due to regulated savings rate and TLTRO benefit reversal) will continue to weigh on its topline performance in the coming quarters. We see an unexciting outlook for GLE in 2023, as it continues to focus on the merger of its French retail networks. While GLE's asset quality has not shown any sign of stress so far, its low non-performing loans (NPL) coverage ratio of ~50% is a concern amid a challenging economic outlook, as it could result in a higher increase in its cost of risk moving forward should the economy deteriorate further, in our view. Amid an inflationary environment and greater need for investment in technology, we believe a more aggressive cost cutting plan is needed to bring down its cost/income ratio to be more in line with peers.
- Key upside risks include: (i) better-than-expected economic development in key markets, (ii) momentum in delivery of business plan, and (iii) favorable banking regulations.
- We adjust our 12-month target price to EUR22 (EUR20), reflecting a P/B of 0.26x, below peer average P/B of 0.60x, justified in our view by GLE's weaker consensus forward ROE (5.1% vs. peers' 10.1%).

## Analyst's Risk Assessment

| LOW | **MEDIUM** | HIGH |
|---|---|---|

Our risk assessment reflects the cyclicality of the banking business and the high leverage of the industry. The bank has a relatively large exposure to investment banking, which we view as higher risk. Revenue diversification and conservative risk management partially mitigate risks.

## Revenue/Earnings Data

**Revenue (Million EUR)**

| | 1Q | 2Q | 3Q | 4Q | Year |
|---|---|---|---|---|---|
| 2024 | -- | -- | -- | -- | **E** 27,900 |
| 2023 | 6,489 | 6,121 | -- | -- | **E** 26,500 |
| 2022 | 7,281 | 7,065 | 6,372 | 6,885 | 28,059 |
| 2021 | 6,245 | 6,261 | 6,672 | 6,620 | 25,798 |
| 2020 | 5,170 | 5,296 | 5,809 | 5,838 | 22,113 |
| 2019 | 5,927 | 5,988 | 5,654 | 5,860 | 23,411 |

**Earnings Per Share (EUR)**

| | 1Q | 2Q | 3Q | 4Q | Year |
|---|---|---|---|---|---|
| 2024 | -- | -- | -- | -- | **E** 5.00 |
| 2023 | 1.05 | 1.40 | -- | -- | **E** 4.20 |
| 2022 | 0.87 | -1.97 | 1.81 | 1.41 | 1.73 |
| 2021 | 0.79 | 1.50 | 1.73 | 1.95 | 5.97 |
| 2020 | -0.07 | -1.68 | 0.87 | 0.36 | -1.02 |
| 2019 | 1.12 | 1.30 | 0.82 | 0.86 | 4.10 |

Fiscal Year ended Dec 31. EPS Estimates based on CFRA's Operating Earnings; historical earnings are adjusted. In periods where a different currency has been reported, this has been adjusted to match the current quoted currency.

## Dividend Data

| Amount ( EUR) | Date Decl. | Ex-Div. Date | Stk. of Record | Payment Date |
|---|---|---|---|---|
| 1.7000 | Feb 08 | May 30 | May 31 | Jun 01 '23 |
| 1.6500 | Feb 10 | May 25 | May 26 | May 27 '22 |
| 0.5500 | Feb 10 | May 25 | May 26 | May 27 '21 |
| 2.2000 | Mar 13 | May 27 | May 28 | Jun 14 '19 |
| 2.2000 | Feb 08 | May 30 | May 31 | Jun 01 '18 |
| 2.2000 | Feb 09 | May 31 | Jun 01 | Jun 02 '17 |

Dividends have been paid since 2001 . Source: Company reports
**Past performance is not an indication of future performance and should not be relied as such.**
Forecasts are not a reliable indicator of future performance.
Dividends paid in currencies other than the Trading currency have been accordingly converted for display purposes.

# Société Générale Société anonyme

## Business Summary May 19, 2023

COMPANY OVERVIEW: Societe Generale Group (GLE) is one of the leading providers of diversified financial services in the Eurozone. Founded in 1864 to support the growth of trade industry in France, it is one of the oldest banks in the country. The group currently operates as a universal bank and has operations in global investment management, retail banking, and specialized financial services, and corporate and investment banking, focusing on European capital markets, derivatives, and structured finance. GLE generates most of its revenue in France, contributing 48% in 2022, followed by Europe (32%), the Americas (8%), Africa (7%), and Asia/Oceania (5%).

DIVISIONS: The group organizes its activities into three core units: (1) French Retail Banking (32% of 2022 revenue) consists of the brands Societe Generale, Credit du Nord, and Boursorama in France. It serves a diverse clientele from individuals to corporates and non-profit organizations.

(2) International Retail Banking & Financial Services (32%) consists of the bank's international retail banking presence in 38 countries serving over 18 million customers. This includes Russia (through subsidiary Rosbank), Czech Republic (Komercini Banka), Romania (BRD), Cameroon (Societe Generale Cameroun), and Cote d'Ivoire (SGBCI). Financial Services provides insurance services, vehicle leasing and fleet management, and equipment and vendor finance.

(3) Global Banking & Investor Solutions (36%) includes Corporate and Investment Banking (CIB), which is present in 40 countries globally, acting as an intermediary in investment banking, financing, and market activities. Investor Solutions includes Asset Management (through Lyxor Asset Management), Private Banking (SGPB), and Securities Services (SGSS). Lyxor manages EUR132 billion (end of 2017) and is among the most experienced ETF providers in Europe. SGPB provides wealth management services to high-net-worth individuals, while SGSS provides investor services on securities and listed derivatives worldwide. Following the IPO of Amundi in November 2015, GLE effectively disposed of its entire 20% stake in the asset management company.

CORPORATE STRATEGY: The company's business strategy can be summarized in three key pillars:

1) Diversification. GLE operates in multiple segments, including retail banking, corporate and investment banking, asset management, and insurance. This diversification helps mitigate risks and capture opportunities across different sectors and geographies.

2) International expansion. GLE has a strong presence in Europe, particularly in France, and has been actively expanding its operations in emerging markets, particularly in Africa and Asia. This strategy allows GLE to tap into high-growth markets and diversify its revenue streams.

3) Digital transformation. The company recognizes the importance of technology and innovation in the banking industry and has been investing in digital capabilities to enhance customer experience, streamline processes, and improve efficiency. Societe Generale has developed digital platforms and mobile applications to provide convenient and personalized services to its customers.

FINANCIAL TRENDS: Over the five-year period from 2018 to 2022, GLE's financial performance has been fluctuating. Its net profit has been on a downward trend from EUR3.4 billion in 2018 to EUR2.5 billion in 2019, before reporting a net loss of EUR869 million in 2020 (due to goodwill impairment and surge in loan loss provision due to Covid-19). Its net profit rebounded strongly to EUR5.0 billion in 2021, before falling steeply to EUR1.4 billion in 2022 (mainly due to EUR3.4 billion loss on sale of assets). Its net interest income remained largely unchanged during the period, hovering around the EUR11.0 billion level. Its operating expenses showed a generally increasing trend, up from EUR17.8 billion in 2018 to EUR18.5 billion in 2022. Its asset quality has improved, with the non-performing loans (NPL) ratio down from 4.1% in 2018 to 3.1% in 2022.

## Corporate information

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N/A

**Website**
www.societegenerale.com

**Officers**

**Group Chief Operating Officer**
L. Mather

**Group CFO & Head of Finance Department**
C. Dumas

**CEO & Director**
S. Krupa

**Group General Counsel**
D. Bourrinet

**Chief Technology Officer**
A. Voiment

**Independent Chairman of the Board**
L. Bini Smaghi

**Board Members**

| | |
|---|---|
| A. M. Schaapveld | J. Levy |
| A. Messemer | J. Praud |
| B. Cossa-Dumurgier | L. Bini Smaghi |
| B. de Ruffray | L. Rochet |
| D. M. Cote | S. Krupa |
| F. Houssaye | S. Wetter |
| H. Poupart-Lafarge | U. M. Ekman |
| J. Contamine | W. A. Connelly |

**Domicile**
France

**Founded**
1864

**Employees**
115,466

**Stockholders**
N/A

**Auditor**
Deloitte & Associes, Ernst & Young Et Autres

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## Quantitative Evaluations

| | | |
|---|---|---|
| **Fair Value Rank** | **NR** | 1 · 2 · 3 · 4 · 5 (LOWEST – HIGHEST). Based on CFRA's proprietary quantitative model, stocks are ranked from most overvalued (1) to most undervalued (5). |
| **Fair Value Calculation** | **N/A** | |
| **Volatility** | **NA** | LOW · AVERAGE · HIGH |
| **Technical Evaluation** | **BULLISH** | Since July, 2023, the technical indicators for GLE FP have been BULLISH" |
| **Insider Activity** | **NA** | UNFAVORABLE · NEUTRAL · FAVORABLE |

## Expanded Ratio Analysis

| | 2022 | 2021 | 2020 | 2019 |
|---|---|---|---|---|
| Price/Sales | 0.84 | 0.99 | 0.77 | 1.10 |
| Price/Pretax Income | 4.28 | 3.18 | 10.34 | 4.94 |
| P/E Ratio | 3.85 | 5.47 | 17.55 | 7.56 |
| Avg. Diluted Shares Outstg. (M) | 822.44 | 846.26 | 850.38 | 829.90 |

Figures based on fiscal year-end price

## Key Growth Rates and Averages

| **Past Growth Rate (%)** | **1 Year** | **3 Years** | **5 Years** |
|---|---|---|---|
| Net Income | NM | NM | NM |
| **Ratio Analysis (Annual Avg.)** | | | |
| Net Interest Margin (%) | N/A | N/A | N/A |
| Return on Assets (%) | 0.20 | 0.22 | 0.26 |
| Loan Loss Reserve (%) | 2.11 | 2.30 | 2.40 |
| Return on Equity (%) | 4.10 | 4.53 | 5.39 |

## Company Financials Fiscal year ending Dec 31

| **Per Share Data** (EUR) | 2022 | 2021 | 2020 | 2019 | 2018 | 2017 | 2016 | 2015 | 2014 | 2013 |
|---|---|---|---|---|---|---|---|---|---|---|
| Tangible Book Value | 74.75 | 70.50 | 65.02 | 66.54 | 67.56 | 66.71 | 69.67 | 66.59 | 62.83 | 57.07 |
| Earnings | 1.73 | 5.97 | -1.02 | 3.05 | 4.24 | 2.92 | 4.26 | 4.49 | 2.90 | 2.23 |
| Earnings (Normalized) | 6.10 | 5.52 | 0.97 | 4.10 | 5.00 | 5.03 | 4.55 | 3.94 | 3.39 | 4.26 |
| Dividends | 1.70 | 1.65 | 0.55 | N/A | 2.20 | 2.20 | 2.20 | 2.00 | 1.20 | 1.00 |
| Payout Ratio (%) | 67.94 | 8.30 | NM | 54.50 | 42.81 | 62.79 | 59.09 | 41.44 | 50.58 | 40.75 |
| Prices: High | 37.68 | 30.84 | 32.23 | 31.56 | 47.50 | 52.26 | 47.90 | 48.77 | 48.68 | 42.97 |
| Prices: Low | 18.34 | 15.18 | 10.77 | 20.81 | 27.02 | 40.66 | 25.00 | 32.45 | 31.85 | 23.44 |
| P/E Ratio: High | 6.20 | 5.60 | 33.20 | 7.70 | 9.50 | 10.40 | 10.50 | 12.40 | 14.30 | 10.10 |
| P/E Ratio: Low | 3.00 | 2.80 | 11.10 | 5.10 | 5.40 | 8.10 | 5.50 | 8.20 | 9.40 | 5.50 |
| **Income Statement Analysis** (Million EUR) | | | | | | | | | | |
| Net Interest Income | 11,286 | 10,718 | 10,473 | 11,185 | 11,019 | 10,416 | 9,467 | 9,306 | 9,999 | 10,489 |
| Non Interest Income | 13,416 | 15,704 | 11,640 | 13,486 | 14,186 | 14,887 | 16,547 | 16,670 | 13,879 | 16,498 |
| Loan Loss Provision | 1,647 | 700.00 | 3,286 | 1,260 | 1,005 | 949.00 | 1,741 | 2,465 | 2,567 | 3,658 |
| % Expense/Operating Revenue | 80.50 | 68.30 | 87.90 | 76.00 | 73.60 | 73.30 | 72.50 | 71.50 | 75.20 | 85.60 |
| Pretax Income | 4,507 | 8,035 | 1,400 | 5,210 | 6,117 | 5,138 | 6,307 | 6,109 | 4,354 | 2,922 |
| Effective Tax Rate | 34.60 | 21.10 | 86.00 | 24.30 | 21.30 | 33.20 | 31.20 | 28.10 | 31.60 | 18.10 |
| Net Income | 2,018 | 5,641 | NM | 3,248 | 4,121 | 2,806 | 3,874 | 4,001 | 2,679 | 2,044 |
| Net Income (Normalized) | 1,888 | 4,396 | 972.20 | 2,811 | 3,299 | 3,439 | 3,707 | 3,799 | 3,000 | 1,753 |
| % Net Interest Margin | N/A | N/A | N/A | N/A | N/A | N/A | N/A | N/A | N/A | N/A |
| **Balance Sheet and Other Financial Data** (Million EUR) | | | | | | | | | | |
| Investment Securities | 227,796 | 184,203 | 106,198 | 124,941 | 128,256 | 222,054 | 246,369 | 242,945 | 254,334 | 225,662 |
| Total Loans | 504,961 | 497,824 | 450,694 | 441,386 | 432,261 | 410,128 | 419,049 | 402,937 | 373,088 | 362,625 |
| Total Assets | 1,486,818 | 1,464,449 | 1,444,404 | 1,356,495 | 1,309,428 | 1,274,216 | 1,354,422 | 1,334,391 | 1,308,138 | 1,214,193 |
| Non Perform Assets/Total Assets | 1.06 | 1.11 | 1.16 | 1.18 | 1.36 | 1.61 | 1.76 | 1.84 | 1.98 | 2.29 |
| Common Equity | 66,451 | 65,067 | 61,710 | 63,527 | 61,026 | 58,428 | 61,953 | 59,037 | 55,229 | 50,877 |
| % Return on Assets | 0.20 | 0.44 | 0.01 | 0.30 | 0.37 | 0.26 | 0.32 | 0.33 | 0.24 | 0.19 |
| % Return on Equity | 4.10 | 9.20 | 0.30 | 5.90 | 7.50 | 5.30 | 6.80 | 7.20 | 5.30 | 4.50 |

Source: S&P Global Market Intelligence. Data may be preliminary or restated; before results of discontinued operations/special items. Per share data adjusted for stock dividends; EPS diluted. E-Estimated. NA-Not Available. NM-Not Meaningful. NR-Not Ranked. UR-Under Review.

## Industry Outlook

Our fundamental outlook on EMEA Financials for the next 12 months is neutral. We believe the industry in general will benefit from the higher interest rate environment. This is balanced by growing concerns about the economy, including slower growth and persistent inflation.

Year-to-date through 30 September 2023, the S&P Europe 350 Financials Index was up 9.2%, outperforming the broader market, represented by the S&P Europe 350 Index, which recorded a gain of 6.5% during the same period.

For the bank sub-industry, we have a neutral view. Signs of easing interest rate tailwind have gathered momentum even as the European Central Bank (ECB) raised its interest rate for the 10th consecutive time in September 2023 by another 0.25%-pts to an all-time high of 4.0%. The ECB has signaled its intention to keep rates on hold in the future. That said, we still expect banks to see expanding net interest income and net interest margins in H2 2023. We expect this to normalize in 2024 due to rising pass-through rates, a gradual decline in sector-wide customer deposits, peaking policy rates, slower loans growth, and weaker macroeconomic prospects. We see higher operating expenses driven by wages and general inflation, IT, and compliance. We expect rising loan loss provisions in the coming months as consumers and businesses will start to feel the negative impact from higher interest rates and inflation.

Our fundamental outlook for the insurance sub-industry is neutral. The challenge for life insurers in managing asset-liability and duration (given the long-term nature of policyholder obligations) caused by the rapid interest rate hikes should ease, in our view, as the uptrend in interest rates is likely to end in the near term. We expect improving investment yields to support the earnings of life insurers but are wary of slowing growth in gross written premiums amid our anticipated lackluster economic activities in Europe. For P&C insurers, we think profitability is set to improve amid our anticipation of easing heavy natural catastrophe claims that plagued most P&C insurers in recent years, moderated claim cost inflation, and firm pricing of new coverages. As for the reinsurers, consensus earnings expectations are becoming lofty, in our opinion, fully accounting for the benefit of the hardening market in the reinsurance segment. We note that the average projected shareholder cash yield of reinsurers is merely 5%, nearly half of the projected cash yield of the insurance sub-industry.

We are also neutral on the asset management sub-industry, where we expect asset under management (AUM) growth to slow down amid macro uncertainties. Two of the main positive factors for AUM growth are new products and new geographic markets. Investments that have been made to target new sources of AUM in the retail space more efficiently and to attract new mandates (especially from institutional investors) by offering extended quantitative and big data solutions are also potential drivers for AUM growth, in our view. Despite relatively strong expectations for top-line growth, fee income is expected to grow more slowly, which implies further falls in fee margin (as a percentage of AUM).

**/ Firdaus Ibrahim, CFA**

## Sub-Industry: Diversified Banks Peer Group*: Diversified Banks

| Peer Group | Stock Symbol | Exchange | Currency | Recent Stock Price | Stk. Mkt. Cap. (M) | 30-Day Price Chg. (%) | 1-Year Price Chg. (%) | P/E Ratio | Fair Value Calc. | Yield (%) | Return on Equity (%) | LTD to Cap (%) |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Societe Generale** | **GLE FP** | **ENXTPA** | **EUR** | **20.72** | **16,800.0** | **-9.5** | **-11.0** | **4.0** | **N/A** | **8.2** | **7.4** | **N/A** |
| ABN AMRO Bank N.V. | ABN NA | ENXTAM | EUR | 12.64 | 10,942.0 | -4.2 | 27.6 | 5.0 | N/A | 10.2 | 10.9 | N/A |
| Banco de Sabadell, S.A. | SAB SM | BME | EUR | 1.14 | 6,403.0 | 4.8 | 47.6 | N/A | N/A | 3.5 | 8.5 | N/A |
| Commerzbank | CBK GR | XTRA | EUR | 10.04 | 12,456.0 | 4.2 | 20.9 | 8.0 | N/A | 2.0 | 5.5 | N/A |
| Credit Agricole | ACA FP | ENXTPA | EUR | 11.17 | 34,006.0 | -2.8 | 22.2 | 6.0 | N/A | 9.4 | 8.7 | N/A |
| DNB ASA | DNB NO | OB | NOK | 200.50 | 307,148.0 | -7.5 | 10.3 | 8.0 | N/A | 6.2 | 15.3 | N/A |
| Danske Bank A/S | DANSKE DC | CPSE | DKK | 161.85 | 138,675.0 | -1.0 | 41.5 | 7.0 | N/A | 4.3 | 12.1 | N/A |
| Erste Group Bank AG | EBS AV | WBAG | EUR | 32.67 | 13,340.0 | 2.4 | 29.9 | 6.0 | N/A | 5.8 | 13.1 | N/A |
| KBC Group | KBC BB | ENXTBR | EUR | 51.68 | 21,474.0 | -13.0 | 1.4 | 6.0 | N/A | 5.4 | 15.1 | N/A |
| Skandinaviska Enskilda Banken AB (publ.) | SEB A SS | OM | SEK | 122.75 | 256,462.0 | -5.0 | 4.7 | 7.0 | N/A | 5.5 | 17.9 | N/A |
| Svenska Handelsbanken AB (publ) | SHBA SS | OM | SEK | 93.82 | 186,746.0 | -4.4 | -8.4 | 7.0 | N/A | 5.9 | 13.6 | N/A |

*For Peer Groups with more than 10 companies or stocks, selection of issues is based on market capitalization.
NA-Not Available; NM-Not Meaningful.
Note: Peers are selected based on Global Industry Classification Standards and market capitalization. The peer group list includes companies with similar characteristics, but may not include all the companies within the same industry and/or that engage in the same line of business.

## Analyst Research Notes and other Company News

**August 04, 2023**
01:34 AM ET... CFRA Keeps Sell Opinion on Shares of Societe Generale (GLE FP 24.83**):
We adjust our 12-month target price for Societe Generale (GLE) to EUR22 (from EUR20), reflecting a P/B of 0.26x, below peer average P/B of 0.60x, justified in our view by GLE's weaker ROE profile. We cut our EPS forecasts to EUR4.20 (from EUR4.50) for 2023 and EUR5.00 (from EUR5.20) for 2024. GLE's Q2 2023 underlying net income fell 22% Y/Y to EUR1.16 bln but was ahead of S&P Capital IQ consensus estimate of EUR744 mln. The result was negatively impacted by lower revenues in French retail banking (-14%), reflecting a consumer protection rule that caps the pace at which banks can pass on interest rate rises to households. Investment banking revenues also fell 7% on the back of a less favorable market environment. We expect GLE will continue to lag other European peers in posting higher retail bank revenues, given the net interest margin pressure in France will continue well into 2024. While its underlying operating expenses were stable, it was also a reflection of weaker revenues. / Firdaus Ibrahim, CFA

**May 12, 2023**
12:13 PM ET... CFRA Lowers Opinion on Shares of Societe Generale to Sell from Hold (GLE FP 22.08**):
We cut our 12-month target price for Societe Generale (GLE) to EUR20 (down from EUR30), reflecting a P/B of 0.28x, below peer average P/B of 0.63x, justified, in our view, by GLE's weaker consensus forward ROE (5.8% vs. peers' 9.5%). We leave our EPS forecasts unchanged. Q1 2023 net income was up 6% Y/Y to EUR868 mln, above the EUR451 mln expected by consensus. The results were mainly driven by lower loan loss provisions (-67%) and lower operating expenses (-1%, mainly due to lower SRF contribution). Reported revenues were down 5% Y/Y, negatively impacted by interest margin pressure at French Retail Banking, due to higher interest rates on the regulated savings scheme in France and the end of benefits from the TLRTO program. We lower our call on GLE to Sell as we expect the interest margin pressure in France will continue to weigh on its top-line performance in the coming quarters. We see an unexciting outlook for GLE in 2023, as it continues to focus on the merger of its French retail networks. / Firdaus Ibrahim, CFA

**February 08, 2023**
03:08 AM ET... CFRA Maintains Hold Opinion on Shares of Societe Generale (GLE FP 28.25***):
We raise our 12-month target price for Societe Generale (GLE) to EUR30 (from EUR26), reflecting a P/B of 0.43x, above its 5-year average P/B of 0.35x, justified in our view by the higher interest rate environment. We keep our 2023 EPS of EUR4.50 and introduce 2024 EPS of EUR5.20. GLE's Q4 2022 net income fell 35% Y/Y to EUR1.2 billion but was ahead of consensus' EUR779 million. The lower result was attributable to increase in cost of risk by 380% and a lower net income from other assets. This more than offsets the strong performance in International Retail Banking on the back of rising interest rates, and FIC trading (+56%) in Global Markets and Investor Solutions. The proposed 2022 distribution of EUR1.8 bln should provide support to its share price, in our view. However, we see an unexciting outlook for GLE in 2023, as it will focus on the merger of its French retail networks. Its low NPL coverage of 48% is also a concern amid increasing macro uncertainties. / Firdaus Ibrahim, CFA

**November 06, 2022**
11:33 PM ET... CFRA Lowers Opinion on Shares of Societe Generale to Hold from Buy (GLE FP 24.10***):
We keep our 12-month target price for Societe Generale (GLE) at EUR26, reflecting a P/B of 0.37x, below peer average P/B of 0.52x, justified in our view by GLE's weaker asset quality. We raise our normalized EPS forecast to EUR4.20 (EUR4.00) for 2022 but keep EUR4.50 for 2023. GLE's Q3 2022 net income fell 6% Y/Y to EUR1.5 bln, higher than the EUR1.0 bln expected by consensus. The lower result was mainly due to higher operating expenses, which rose 2%, and an increase in cost of risk to EUR456 mln from EUR196 mln due to deteriorating macroeconomic outlook. Revenue growth was 2% as higher trading income at its investment bank was partly offset by lower net interest income in its domestic retail banking due to the lag effect in the rise of new mortgage rates. We lower GLE a notch to Hold due to asset quality concerns, given its low NPL coverage ratio of 50%. This could result in higher increase in its cost of risk moving forward should the economy deteriorate further, in our view. / Firdaus Ibrahim, CFA

**August 03, 2022**
04:01 AM ET... CFRA Reiterates Buy Opinion on Shares of Societe Generale (GLE FP 21.64****):
We trim our 12-month target price to EUR26 (from EUR28), reflecting a P/B of 0.40x, below peers' 0.6x, justified in our view by GLE's weaker ROE profile. We raise our normalized EPS forecast to EUR4.00 (from EUR3.50) for 2022 but retain EUR4.50 for 2023. GLE reported much lower net loss of EUR1.5 billion in Q2 2022 vs. EUR2.5 billion loss expected by S&P Capital IQ consensus due to the previously communicated charges related to its exit from Russia. Its underlying result was in fact strong, with 19% Y/Y increase in underlying pre-tax profit to EUR2.2 billion, on the back of 13% revenue growth, driven by interest rate increase and high activity level at both commercial and investment bank. With its full exit from Russia, we see a clearer path for GLE to achieve its 2025 targets. We believe GLE continues to be undervalued as its trades at ~30% discount to its 5-year average P/B, despite its improving fundamentals and ability to deliver above-average revenue growth. Maintain Buy. / Firdaus Ibrahim, CFA

**May 05, 2022**
02:27 PM ET... CFRA Reiterates Buy Opinion on Shares of Societe Generale (GLE FP 22.43****):
We trim our 12-month target price for Societe Generale (GLE) to EUR28 (EUR42), reflecting a P/B of 0.40x, below peers' 0.69x, justified in our view by GLE's weaker ROE profile. We cut our EPS forecasts to EUR3.5 (EUR6.0) for 2022 and EUR4.5 (EUR6.1) for 2023. GLE's Q1 2022 net income was up 3% Y/Y to EUR842 million, significantly above S&P Capital IQ consensus estimate of EUR507 million. The result was mainly driven by excellent momentum in all of its businesses, notably International Retail Banking & Financial Services and Global Banking & Investor Solutions, both registering high double-digit revenue growth. This was partly offset by higher operating expenses and cost of risk. While GLE will take a EUR3.1 billion hit in Q2 2022 from the sale of its Russian operations, we think this will limit further impact from the Russia-Ukraine crisis in the longer term. Trading at a P/B of just 0.29x, we believe GLE continues to be undervalued against consensus forward ROE of 5.6%. / Firdaus Ibrahim, CFA

**February 11, 2022**
12:39 PM ET... CFRA Maintains Buy Opinion on Shares of Societe Generale (GLE FP 35.78****):
We raise our 12-month target price for Societe Generale (GLE) to EUR42 (from EUR35), reflecting a P/B of 0.61x, below the peer average P/B of 0.84x, justified, in our view, by GLE's lower forward ROE. We raise our 2022 EPS forecast to EUR6.00 (from EUR4.00) and set 2023 EPS at EUR6.10. GLE's Q4 2021 EPS of EUR1.95 beat the S&P Capital IQ consensus estimate of EUR1.35. Its underlying pre-provision profit was up 35%, as revenue growth of 10%, reflecting balanced contribution across its businesses, more than offset the 4% higher operating expenses, mainly due to variable costs linked to the revenue growth. We believe GLE will achieve its target of 66%-68% underlying cost/income ratio for 2022 (2021: 67%), driven by cost discipline, while delivering on a robust revenue growth as we see momentum in the strong performance of all its three business segments (domestic, international, and investment bank). We also think GLE's current market P/B valuation is discounting its forward ROE of c.6%. We maintain Buy. / Firdaus Ibrahim, CFA

Note: Research notes reflect CFRA's published opinions and analysis on the stock at the time the note was published. The note reflects the views of the equity analyst as of the date and time indicated in the note, and may not reflect CFRA's current view on the company.

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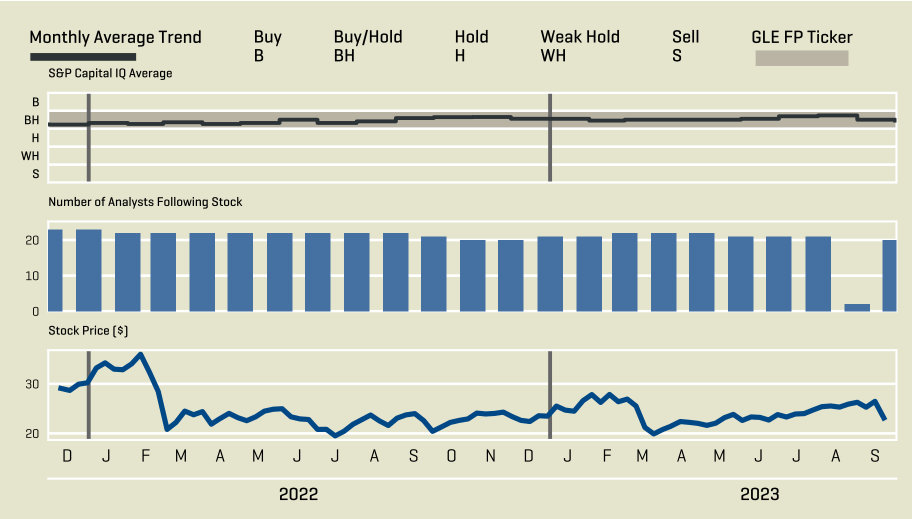
## Analysts Recommendations




| | No. of Recommendations | % of Total | 1 Mo.Prior | 3 Mos.Prior |
|---|---|---|---|---|
| Buy | 9 | 45 | 9 | 11 |
| Buy/Hold | 1 | 5 | 1 | 3 |
| Hold | 10 | 50 | 10 | 7 |
| Weak hold | 0 | 0 | 0 | 0 |
| Sell | 0 | 0 | 0 | 0 |
| No Opinion | 0 | 0 | 0 | 0 |
| Total | 20 | 100 | 20 | 21 |

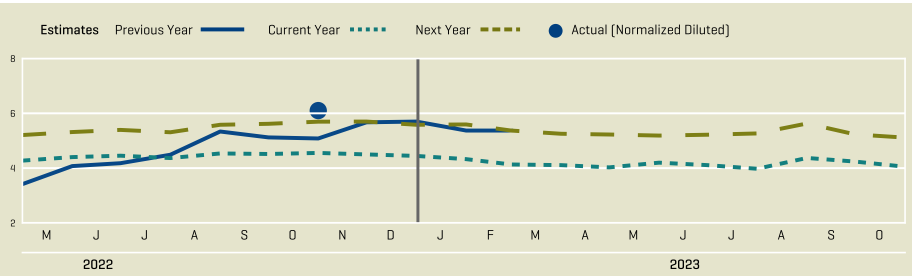
## Wall Street Consensus Opinion

**Buy/Hold**

## Wall Street Consensus vs. Performance

For fiscal year 2023, analysts estimate that GLE FP will earn EUR 4.05. For fiscal year 2024, analysts estimate that GLE FP's earnings per share will grow by 26.26% to EUR 5.11.

## Wall Street Consensus Estimates




| Fiscal Year | Avg Est. | High Est. | Low Est. | # of Est. | Est. P/E |
|---|---|---|---|---|---|
| 2024 | 5.11 | 5.94 | 4.22 | 16 | 4.06 |
| 2023 | 4.05 | 4.73 | 3.19 | 16 | 5.12 |
| **2024 vs. 2023** | ▲ 26% | ▲ 26% | ▲ 32% | N/A% | ▼ -21% |
| | | | | | |
| Q3'23 | 0.88 | 1.13 | 0.68 | 5 | 23.66 |

Forecasts are not reliable indicator of future performance.

Note: A company's earnings outlook plays a major part in any investment decision. S&P Global Market Intelligence organizes the earnings estimates of over 2,300 Wall Street analysts, and provides their consensus of earnings over the next two years, as well as how those earnings estimates have changed over time. Note that the information provided in relation to consensus estimates is not intended to predict actual results and should not be taken as a reliable indicator of future performance.

**Note: For all tables, graphs and charts in this report that do not cite any reference or source, the source is S&P Global Market Intelligence.**

## Glossary

### STARS

Since January 1, 1987, CFRA Equity and Fund Research Services, and its predecessor S&P Capital IQ Equity Research has ranked a universe of U.S. common stocks, ADRs (American Depositary Receipts), and ADSs (American Depositary Shares) based on a given equity's potential for future performance. Similarly, we have ranked Asian and European equities since June 30, 2002. Under proprietary STARS (Stock Appreciation Ranking System), equity analysts rank equities according to their individual forecast of an equity's future total return potential versus the expected total return of a relevant benchmark (e.g., a regional index (MSCI AC Asia Pacific Index, MSCI AC Europe Index or S&P 500® Index)), based on a 12-month time horizon. STARS was designed to help investors looking to put their investment decisions in perspective. Data used to assist in determining the STARS ranking may be the result of the analyst's own models as well as internal proprietary models resulting from dynamic data inputs.

### S&P Global Market Intelligence's Quality Ranking

(also known as **S&P Capital IQ Earnings & Dividend Rankings**) - Growth and S&P Capital IQ Earnings & Dividend Rankings stability of earnings and dividends are deemed key elements in establishing S&P Global Market Intelligence's earnings and dividend rankings for common stocks, which are designed to capsulize the nature of this record in a single symbol. It should be noted, however, that the process also takes into consideration certain adjustments and modifications deemed desirable in establishing such rankings. The final score for each stock is measured against a scoring matrix determined by analysis of the scores of a large and representative sample of stocks. The range of scores in the array of this sample has been aligned with the following ladder of rankings:

| | | | |
|---|---|---|---|
| A+ | Highest | B | Below Average |
| A | High | B- | Lower |
| A | Above | C | Lowest |
| B+ | Average | D | In Reorganization |
| NC | Not Ranked | | |

### EPS Estimates

CFRA's earnings per share (EPS) estimates reflect analyst projections of future EPS from continuing operations, and generally exclude various items that are viewed as special, non-recurring, or extraordinary. Also, EPS estimates reflect either forecasts of equity analysts; or, the consensus (average) EPS estimate, which are independently compiled by S&P Global Market Intelligence, a data provider to CFRA. Among the items typically excluded from EPS estimates are asset sale gains; impairment, restructuring or merger-related charges; legal and insurance settlements; in process research and development expenses; gains or losses on the extinguishment of debt; the cumulative effect of accounting changes; and earnings related to operations that have been classified by the company as discontinued. The inclusion of some items, such as stock option expense and recurring types of other charges, may vary, and depend on such factors as industry practice, analyst judgment, and the extent to which some types of data is disclosed by companies.

### 12-Month Target Price

The equity analyst's projection of the market price a given security will command 12 months hence, based on a combination of intrinsic, relative, and private market valuation metrics, including Fair Value.

### Abbreviations Used in Equity Research Reports

CAGR - Compound Annual Growth Rate
CAPEX - Capital Expenditures
CY - Calendar Year
DCF - Discounted Cash Flow
DDM - Dividend Discount Model
EBIT - Earnings Before Interest and Taxes
EBITDA - Earnings Before Interest, Taxes, Depreciation & Amortization
EPS - Earnings Per Share
EV - Enterprise Value
FCF - Free Cash Flow
FFO - Funds From Operations
FY - Fiscal Year
P/E - Price/Earnings
P/NAV - Price to Net Asset Value
PEG Ratio - P/E-to-Growth Ratio
PV - Present Value
R&D - Research & Development
ROCE - Return on Capital Employed
ROE Return on Equity
ROI - Return on Investment
ROIC - Return on Invested Capital
ROA - Return on Assets
SG&A - Selling, General & Administrative Expenses
SOTP - Sum-of-The-Parts
WACC - Weighted Average Cost of Capital

**Dividends on American Depository Receipts (ADRs) and American Depository Shares (ADSs) are net of taxes (paid in the country of origin).**

### Qualitative Risk Assessment

Reflects an equity analyst's view of a given company's operational risk, or the risk of a firm's ability to continue as an ongoing concern. The Qualitative Risk Assessment is a relative ranking to the U.S. STARS universe, and should be reflective of risk factors related to a company's operations, as opposed to risk and volatility measures associated with share prices. For an ETF this reflects on a capitalization-weighted basis, the average qualitative risk assessment assigned to holdings of the fund.

### STARS Ranking system and definition:

★★★★★ **5-STARS (Strong Buy):**
Total return is expected to outperform the total return of a relevant benchmark, by a notable margin over the coming 12 months, with shares rising in price on an absolute basis.

★★★★☆ **4-STARS (Buy):**
Total return is expected to outperform the total return of a relevant benchmark over the coming 12 months.

★★★☆☆ **3-STARS (Hold):**
Total return is expected to closely approximate the total return of a relevant benchmark over the coming 12 months.

★★☆☆☆ **2-STARS (Sell):**
Total return is expected to underperform the total return of a relevant benchmark over the coming 12 months.

★☆☆☆☆ **1-STAR (Strong Sell):**
Total return is expected to underperform the total return of a relevant benchmark by a notable margin over the coming 12 months, with shares falling in price on an absolute basis.

**Relevant benchmarks:**
In North America, the relevant benchmark is the S&P 500 Index, in Europe and in Asia, the relevant benchmarks are the MSCI AC Europe Index and the MSCI AC Asia Pacific Index, respectively.

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Quantitative rankings are determined by ranking a universe of common stocks based on 5 measures or model categories: Valuation, Quality, Growth, Street Sentiment, and Price Momentum. In the U.S., a sixth sub-category for Financial Health will also be displayed. Percentile scores are used to compare each company to all other companies in the same universe for each model category. The five (six) model category scores are then weighted and rolled up into a single percentile ranking for that company. For reports containing quantitative rankings refer to the Glossary section seof the report for detailed methodology and the definition of Quantitative rankings.

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**STARS Stock Reports:**

Global STARS Distribution as of September 30, 2023

| Ranking | North America | Europe | Asia | Global |
|---|---|---|---|---|
| Buy | 36.8% | 34.5% | 41.6% | 37.4% |
| Hold | 53.8% | 51.2% | 50.3% | 52.6% |
| Sell | 9.4% | 14.3% | 8.1% | 10.1% |
| Total | 100.0% | 100.0% | 100.0% | 100.0% |

**Analyst Certification:**

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